

MS Fincap Private Limited

October 08, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Non-convertible debentures	MCA	30.00	CARE BBB-; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

The rating reaffirmation on the long-term instrument of MS Fincap Private Limited (MSFCPL) factors in healthy growth momentum with a 60% y-o-y growth in its assets under management (AUM) to ₹640.03 crore as on June 30, 2026, despite moderation in profitability. The rating continues to favourably factor in MSFCPL's adequate capital structure considering regular capital infusions from the promoter.

However, ratings remain constrained considering modest business vintage, limited portfolio seasoning, high geographical concentration and a moderately diversified resource mix.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Granular growth in loan book while maintaining good asset quality and profitability metrics.
- Ability to raise equity capital at regular intervals supporting capitalisation and diversification in resources mix.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Deteriorating asset quality metrics with net non-performing assets (NNPA) remaining over 3% on a sustained basis.
- Overall gearing remaining over 5x on a sustained basis.
- Dilution in capital support from the existing promoters.

Analytical approach: Standalone

Outlook: Stable

The 'Stable' outlook reflects CARE Ratings Limited's (CareEdge Ratings) expectation of continued business growth aided by capital support from promoters while maintaining stable asset quality.

Detailed description of key rating drivers

Key strengths

Adequate capital structure; benefits arising from promoter growth capital

MSFCPL is promoted by the DD Modi family of Jaipur, with the company's operations led by third-generation entrepreneurs Mukund Modi, Managing Director, and Shridhar Modi, Executive Director. Together, they held a 47.46% stake in the company as of June 30, 2026, while remaining shareholding is distributed among immediate family (36.83%), relatives (14.41%), and close associates (1.29%). The shareholding provided is on a fully diluted basis.

To strengthen its leadership team and support its growth ambitions, the company enhanced its senior management during FY25 with the appointment of Mr. Vineet Patni as Chief Executive Officer (CEO), who brings over two decades of experience in the financial services sector. Further, MSFCPL strengthened its organizational framework through the induction of a Chief Financial Officer (CFO), Chief Business Officer (CBO), Chief Operating Officer (COO) and Collection Head, enhancing managerial oversight and supporting the company's growing scale of operations.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Overall gearing increased to 3.32x as on March 31, 2026 (3.03x as on June 30, 2026), from 2.95x as on March 31, 2025, due to robust portfolio growth, despite regular capital infusions. The capital adequacy ratio (CAR) stood at 28.11% as on March 31, 2026 (27.88% as on June 30, 2026), compared to 32.71% in the previous year. Promoters have infused ₹35 crore of equity in FY26 and ₹15 crore in Q1FY27 resulting in tangible net worth of ₹153.20 crore as on June 30, 2026, and further infused ₹24 crore in Q2FY27. Additionally, the company envisages capital infusion of ₹15 Cr in H2FY27 uncalled amount from the partly paid-up shares. CareEdge Ratings expects the company's leverage to remain below 4.0x in the medium term. Promoters also subscribed to sub-debt of ₹30 crore issued by the company in FY25, which is repayable in FY30. Given the company's expanding scale of operations, its ability to periodically raise equity capital, alongside generating adequate internal accruals to support growth, will remain a key rating monitorable going forward.

Improving scale of operations; despite moderation in the profitability

MSFCPL reported strong business growth in FY26, with its AUM increasing by 67% to ₹592.05 crore from ₹354.70 crore in FY25. Growth momentum continued in Q1FY27, with AUM rising further to ₹640.03 crore, supported by the expansion in its retail lending franchise through a growing branch network. The increasing focus on the retail portfolio, which offers relatively higher yields of up to ~24%, enabled the company to maintain a healthy net interest margin (NIM) of 9.93% in FY26 (13.04% in Q1FY27), compared to 9.78% in FY25, despite higher reliance on external borrowings. Fee-based income remained a significant contributor to earnings, as reflected in the fee and other income to average total assets (ATA) ratio of 3.76% (2.43% in Q1FY27), up from 3.17% in the previous year due to growth in disbursement. On the operating front, the company undertook significant business expansion in FY26 and Q1FY27, increasing its branch network to 104 branches from 70 and its employee strength to 772 in Q1FY27 from 753 in FY26. Addition of key senior management personnel, including a CFO, also contributed to higher operating expenses. Consequently, operating expenses to ATA remained elevated at 9.28% in FY26 (10.47% in Q1FY27) compared to 8.66% in FY25. Operating costs are expected to remain relatively high until economies of scale begin to materialise. Credit costs increased to 1.17% in FY26 from 0.35% in FY25, due to increase in the delinquency and stood at 2.94% due to write-offs in Q1FY27. In line with its prudent risk management framework and evolving portfolio profile, the company also strengthened its provisioning buffer, resulting in credit cost increasing substantially to ₹5.79 crore as on March 31, 2026 (₹3.94 crore as on June 30, 2026), from ₹1.14 crore as on March 31, 2025. As a result of higher operating and credit costs, the return on managed assets (ROMA) moderated to 1.77% in FY26 (1.12% in Q1FY27) from 2.29% in FY25 (2.45% in Q1FY26). Going forward, trajectory of credit costs and their impact on profitability will remain key monitorable factors from a credit assessment perspective.

Key weaknesses

Modest business vintage with limited seasoning in retail book

The company began operations in FY18 with a primary focus on servicing high-ticket SME borrowers, typically with loan sizes exceeding ₹1 crore, through a centralised lending model operated from its headquarters. Over the years, it diversified its product offerings by expanding into segments such as construction finance, school financing, and education loans. Since FY21, the company strategically shifted its focus towards secured micro, small and medium enterprise (MSME) lending, a relatively high-yield segment generating interest rates of up to 24% (excluding processing fees). The target customer profile comprises small traders, farmers, and micro-enterprise owners, with average loan ticket sizes of up to ₹6.5 lakh and a conservative average loan-to-value (LTV) ratio of ~40-45%.

As on June 30, 2026, secured MSME loans constituted ~at 85% of AUM (FY26: 85%), while the share of high-ticket SME loans stood at 8% (FY26: 8%). The remaining portfolio comprised Education fee financing loans at 4% (FY26: 3%), construction finance at 2% (FY26: 2%), school loans at 1% (FY26: 1%), and staff loans at 0.19% (FY26: 0.30%). Driven by strong growth in branch-led retail lending, the share of wholesale exposures, including school financing, reduced to 12% of AUM as on March 31, 2026, from 23% a year earlier, and further moderated to ~11% as on June 30, 2026, reflecting the company's increasing focus on granular secured MSME lending.

Disbursements in the retail book have picked up momentum only in the last two fiscal years, indicating limited portfolio seasoning. The gross non-performing assets (GNPA) saw an uptick from 1.28% (120+ days past due [dpd]) as on March 31, 2025, to 3.12% (90+ dpd), and slightly moderated to 2.95% as on June 30, 2026, largely aided by write-offs made in Q1FY27 despite pressure from elevated slippages. On-time bucket in the AUM improved to 90% as on March 31, 2026 (PY: 89%), supported by improved collection efficiencies and gradual seasoning of the loan portfolio. With FY26 and Q1FY27 disbursements accounting for 67% of the MSME book (AUM), maintaining portfolio quality in near-to-medium term will be a key monitorable going forward.

Geographically concentrated portfolio

MSFCPL started its lending operations through its head office in Jaipur and expanded its branch presence in Rajasthan. Over time, the company expanded to Gujarat and Madhya Pradesh growing its retail reach. The company's wholesale book consisting of SME loans, construction finance, and school loans is entirely based in Rajasthan collectively accounting for 12% of its AUM as on March 31, 2026 (11% as on June 30, 2026).

While CareEdge Ratings takes note of a slight reduction in overall concentration in the state, AUM in Rajasthan alone contributed to 66% as on June 30, 2026 (65% as on March 31, 2026), followed by Madhya Pradesh at 26% (FY26: 27%), Gujarat at 7% (FY26: 4%) and Uttar Pradesh at 1%. Going forward, this geographical concentration is expected to reduce as exposure from other states such as Gujarat, Uttar Pradesh and Madhya Pradesh improves.

Moderate-yet-improving resource profile

As on June 30, 2026, the company's funding profile comprised non-banking financial company (NBFC) borrowings at 43% (FY26: 39%), bank borrowings at 31% (FY26: 34%), and alternative investment fund (AIF; non-convertible debentures [NCDs]) funding at 18% (FY26: 20%), with the balance represented by promoter loans and subordinated debt. Borrowing mix was largely dominated by term loans at 65% (FY26: 65%), followed by NCDs at 25% (FY26: 26%), with the remainder comprising subordinated debt and promoter funding. In FY26, the company also undertook a securitisation transaction via pass-through certificates (PTCs), further diversifying its funding sources. In Q1FY27, it secured fresh sanctions of ~₹50 crore through term loans and NCDs. The average cost of external borrowings stood at ~11.98% as on June 30, 2026. (12.3% as on June 30, 2025), while new sanctions obtained in the quarter were priced at a lower average cost of ~11.2%, reflecting improving funding access.

Going forward, the company's ability to further diversify its resource mix and raise borrowings at competitive rates shall remain key monitorable.

Liquidity: Adequate

Per asset liability statement (ALM) dated June 30, 2026, the liquidity stood adequate with positive cumulative mismatches across buckets.

For the next one year, debt obligations including interest amount to ₹186.59 crore with fixed operating expenses at ~₹36.84 crore, against which inflow from advances including interest, unencumbered cash and bank balances collectively stood at ₹193.12 crore and unutilised bank lines of ₹4.50 crore. Average current month collection efficiency for 12 months ending June 2026 stood at 95%.

Ratings assigned by CareEdge Ratings do not factor in rating-related trigger clauses per terms of facilities/instruments, which may involve acceleration of payments in case of rating downgrades.

Assumptions/Covenants

Not applicable

Environment, social, and governance (ESG) risks

Not applicable

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Non Banking Financial Companies](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Non-banking financial company (NBFC)

Incorporated in 2016, MFSCPL is a Jaipur-based NBFC, which acquired licence from RBI in 2017. The company is promoted by the DD Modi family based in Jaipur, which has an established presence in the financing segment for over three decades. The company's day-to-day affairs are handled by Mukund Modi (Managing Director) and brother Shridhar Modi (Executive Director), who are the third generation in the family business.

The company's AUM stood at ₹640.03 crore as of June 2026, primary focus is a branch led secured MSME lending of ticket size averaging up to ₹6.5 lakhs with yields up to 24% (excluding processing fees) contributing to 85% of AUM. The company is also into financing high ticket size (above ₹1 crore) small and medium enterprise (SME) secured loans and a construction finance and school finance book collectively comprising 15% of the AUM as on June 30, 2026. The company operates through a branch network of 104 branches spread across four states; Rajasthan, Madhya Pradesh, Gujarat and Uttar Pradesh as on June 30, 2026.

Standalone

Brief Financials (₹ crore)	31-03-2025	31-03-2026	Q1FY27
	A	A	UA
Total income	67.92	108.90	33.69
Profit after tax (PAT)	7.57	9.36	1.58
Assets under management (AUM)	354.71	592.05	640.03
On-book gearing (x)	2.95	3.32	3.03
AUM / tangible net-worth (TNW) (x)	3.79	4.33	4.18
Gross non-performing assets (NPA) / gross stage 3 (%)	1.29	3.12	2.95
Return on managed assets (ROMA) (%)	2.29	1.77	1.12
Capital adequacy ratio (CAR) (%)	32.71	28.11	27.88

A: Audited UA: Unaudited; Note: these are latest financial results available

Status of non-cooperation with previous CRA

Not applicable

Any other information

Not applicable

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Debentures-Non Convertible Debentures - Proposed	MCA	Simple	-	-	-	-	5.00	CARE BBB-; Stable
Debentures-Non Convertible Debentures	MCA	Simple	INE0S3L07032	30-Sep-2024	12.75%	16-Mar-2028	20.00	CARE BBB-; Stable
Debentures-Non Convertible Debentures	MCA	Complex	INE0S3L07040	18-Nov-2024	13.25%	25-Nov-2027	5.00	CARE BBB-; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Debentures-Non Convertible Debentures	LT	30.00	CARE BBB-; Stable	-	1)CARE BBB-; Stable (09-Oct-25)	1)CARE BBB-; Stable (10-Oct-24)	-

LT: Long term; ST: Short term; LT/ST: Long term/Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**

To view lender-wise details of bank facilities please [click here](#)

Annexure-5: List of entities consolidated: Not applicable

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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